strategy will be the least of our worries in this worst-case scenario. If you base your plans around a “Black Swan” event, you should probably invest in batteries, bottled water, and bullets.

The Fallacy of Picking Winners

The next thought is if some companies go to zero while others grow exponentially, the key to investing must be to pick the best companies while avoiding the bad ones. There is only one problem with this approach: it doesn’t work with any consistency or predictability.

Every year S&P Dow Jones releases the Standard and Poor’s Indices Versus Active (SPIVA) report. This is a scorecard of stock indexes, collections of companies grouped together, versus actively managed mutual funds, which try to pick the best stocks from those indexes then buy and sell them in an attempt to beat the market. Year after year, results are predictably similar. Index funds outperform the vast majority of actively managed funds. Beating the market requires spending time and money on research. It also requires overcoming fees and taxes generated when buying and selling stocks.